Trade Proposal – Indonesia Long

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Trade Summary

Indonesia is priced for institutional collapse. The institutions have not.

The Jakarta Composite trades at COVID-era lows despite an economy growing at 5.61%, inflation at 2.42% and falling, and capital flows that remained positive through Q4 2025. The market is applying pandemic-level discounts to what is, at its core, a governance risk premium — real, justified, yet significantly overstated. The 1997-98 analogy carrying consensus is structurally inapplicable; said crisis was a regional contagion. This is not. Capital rotating out of Indonesia is settling in Manila and Ho Chi Minh City, not New York. It has a short round-trip.

The thesis does not require Indonesia to become a well-governed economy. It requires only that the market stops receiving incremental evidence that it is becoming an ungoverned, uninvestable one. At current valuations, this very asymmetry is the trade.

Trade Expression

Instrument: Long EIDO – Ishares Trust Msci Indonesia ETF.

EIDO is a USD-denominated ETF tracking the returns of the MSCI Indonesia IMI 25/50 Index. A currency unhedged ETF instrument captures both fundamental Indonesian equity re-rating and rupiah recovery simultaneously as the governance risk premium compresses. Vanilla shares are preferred; the options chain carries zero OI, 220dte at maximum, and non-functional spreads.

Variant Perception

The market is pricing Indonesia as though it is experiencing a structural economic breakdown reminiscent of the Asian Financial Crisis. It is not. The Jakarta Composite sits at 52-week lows – levels consistent with COVID-era pricing – despite an economy that grew 5.61% in Q1 2026, inflation at 2.42% and falling, and capital flows that remained positive through Q4 2025. The disconnect is not subtle.

The bear case analogy carrying consensus – 1997-98 – is structurally inapplicable; said crisis was a regional contagion triggered by Thailand's baht collapse, spilling then across other APAC economies. Today, there is no external amplifier; the region is not in distress, and capital rotating out of Indonesia is flowing to Manila and Ho Chi Minh City, not New York.

What is being priced is governance risk premium – Danantara's opacity, central bank independence concerns, erratic policy sequencing under President Prabowo. Whilst these risks are genuine, it does not justify pandemic-level discounts to an economy that is still otherwise functioning. The market is conflating bad governance with economic impairment. This gap is the trade.

All currency figures stated in USD.

Thesis

The core mispricing is a conflation of two distinct conditions: governance deterioration and institutional failure. Indonesia is experiencing the former, not the latter.

Governance has deteriorated visibly under President Prabowo:

- Danantara concentrates national assets under direct state control with limited independent oversight.
- Widely respected technocrat and former Indonesia Minister of Finance Sri Mulyani Indrawati – retained at inception precisely to signal fiscal responsibility to international markets – was abruptly removed in September 2025 without public explanation.
- The central bank's credibility has been undermined by the politically motivated appointment of President Prabowo’s nephew as deputy director.
- Fiscal discipline has eroded as social spending commitments outpace revenue.

These are legitimate concerns and the market is right to discount for them. Where consensus goes wrong is in extrapolating governance deterioration into full institutional breakdown — pricing Indonesian equities as though the economy itself is impaired at levels comparable to the COVID-19 pandemic.

The data does not support that extrapolation.

- GDP grew 5.61% in Q1 2026.
- Inflation sits at 2.42% and is falling.
- Bank Indonesia has positive real rates and retains the capacity to defend the currency, as evidenced by its 50bps emergency hike in May 2026.
- Capital flows remained positive at $8.3 billion through Q4 2025, oscillating within normal emerging market ranges rather than showing the sustained multi-quarter haemorrhage that preceded 1998.

The underlying productive capacity of the Indonesian economy has not been impaired, but burdened by poor policy sequencing and elevated uncertainty, which is a meaningfully different condition.

The distinction matters because the recovery path for each scenario is different entirely. Genuine institutional collapse — 1998 Indonesia, 2001 Argentina — requires years of structural reconstruction before equity markets recover. A governance risk premium attached to a functioning economy compresses the moment the directional signal on governance changes. This scenario does not require full rehabilitation. It requires only visible deceleration of deterioration. At current valuations, priced for the former and exposed only to the latter, the asymmetry is the trade.

Catalyst Mapping

The following key developments are monitored as confirmation or denial of the thesis’ validity over the trade duration:

[1.] MSCI Emerging Market Classification Review – June 2026

MSCI’s softening language indicates an explicit downgrade in Indonesia’s market status – from EM (Emerging Market) to FM (Frontier Market) – unlikely. A clean EM status confirmation lifts the freeze on passive index additions, triggering mechanical buying pressure and capital inflows not currently priced. Conversely, a downgrade to frontier is partially priced given the severity of the selloff, limiting incremental downside relative to the upside a confirmation delivers.

[2.] FX Repatriation Rule – June 1, 2026

Weak or nominal enforcement of Danantara’s FX repatriation framework confirms the established pattern of policy reversals and compresses governance risk premium.

Aggressive enforcement introduces counterparty friction for commodity buyers and is a thesis risk.

[3.] Danantara Full Commodity Export Control Centralization – Q3-Q4 2026

Full commodity export centralization has been delayed from September 2026 to 2027. Each month passing without re-escalation of the implementation timeline is a passive confirmation catalyst – the market priced September enforcement; 2027 is materially less threatening.

[4.] Bank Indonesia Rate Trajectory – Ongoing

Bank Indonesia hiked rates 50bps to 5.25% against 2.42% inflation – strongly positive real rates held defensively. Rupiah stabilization ends the hike cycle and opens the path to future cuts, which are a direct equity re-rating catalyst. Monthly BI meetings are to be monitored for language shift from "pro-stability" to "pro-growth."

[5.] President Prabowo Policy Reversal Tendency – Ongoing

Any incremental reversal on Danantara's scope or commodity centralization mechanism directly corroborates President Prabowo's pattern of policy reversal and meaningfully compresses governance risk premium.

Risk Analysis

The following risks are monitored as an ongoing effort to assess validity of the thesis over the trade duration:

[1.] Sustained capital outflow.

Capital outflow through Q4 2025 remained positive and within normal emerging market ranges. The thesis is materially weakened if Q1-Q3 2026 data shows sustained multi-quarter outflows of the kind preceding 1998. Two to three quarters of sustained outflow against a backdrop of rupiah weakness lends credence to the bear case.

[2.] Rupiah continued deterioration.

Bank Indonesia is actively defending the currency with strongly positive real rates. The thesis tolerates rupiah weakness at the margin – it is partially priced. What is not tolerable is accelerating currency depreciation outpacing Bank Indonesia's capacity to defend, at which point the rate defense becomes self-defeating. BI's foreign reserve levels are leading indicators – reserve drawdown acceleration is sufficient warning.

[3.] Fiscal rule breach.

The 3% deficit ceiling established under the 2003 State Finance Law is Indonesia's last meaningful institutional fiscal policy guardrail. Parliamentary discussions regarding its revision have already taken place. Formal amendment or de facto breach – running deficits materially above the 3% ceiling without consequence – changes the sovereign credit story and introduces risks the current thesis does not support.

[4.] MSCI Frontier Classification.

A June downgrade to Frontier market status triggers mechanical selling pressure from EM-mandated funds that are not fully priced at current levels. This is a low probability outcome given MSCI's softening language, but it is not zero. In the event Indonesia is re-classified as a Frontier market, the timeline for thesis realization is materially extended.

[5.] Danantara Re-escalation.

Should the commodity export centralization implementation timeline be pulled forward, the price floor mechanism reintroduced credibly, or Danantara's mandate expanded, governance risk premium re-widens. Monitor whether major commodity buyers – China in particular – begin formally diverting purchases to alternative suppliers indicating the friction is real, not bureaucratic.

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Scenario Analysis

Standard bear, bull, and base cases are as follows:

[1.] Base Case – Governance Noise Floor, Gradual Re-Rating.

President Prabowo continues his established pattern – periodic, disruptive policy reveal followed by partial reversals under market pressure.

- *The June MSCI review confirms EM status, lifting the passive inflow freeze.*
- *The June 1 FX repatriation rule is enforced nominally rather than aggressively.*
- *Danantara's full implementation remains a 2027 issue.*
- *Bank Indonesia holds rates stable through H2 2026 as the rupiah normalizes, before signaling potential cuts entering 2027.*

No single dramatic governance rehabilitation occurs – Indonesia's fiscal spiral stabilizes. The governance risk premium gradually compresses as each catalyst resolves without escalation or implication. EIDO re-rates from current levels toward the mid-range of its 52-week band: $17-19, representing a ~45% return from current levels.

[2.] Bull Case – Credible Governance Signal.

Structural reversal occurs:

- *Meaningful, independent oversight introduced to Danantara.*
- *Credible technocratic appointments to senior economic / ministry roles.*
- *Formal scaling back of commodity centralization following Chinese buyer pressure.*

Full institutional rehabilitation is not a necessity for the thesis' validation. A visible change in direction the market interprets as governance deterioration cycle peaking, foreign capital rotation back from Manilla and Ho Chi Minh City accelerating, passive inflows resuming post-MSCI confirmation, Bank Indonesia pivoting to cuts earlier than expected as the rupiah stabilizes, etc… rerates EIDO sharply towards the higher-end of its 52-week range: $22-24, representing an ~85% return capturing full risk premium compression and currency tailwind.

[3.] Bear Case – Thesis Impairment.

One or more monitoring conditions from the Risk Analysis section is triggered in combination:

- *MSCI downgrades Indonesia from EM to FM.*
- *Q1-Q3 2026 capital flow shows sustained outflows.*
- *Danantara re-escalates commodity centralization timelines.*
- *Rupiah breaks to new lows beyond BI's capacity to defend without reserve depletion.*

EIDO approaches its COVID-19 pandemic floor of $10-11, representing a ~20% loss from current levels. Note that even in the event the bear case materializes, the downside is asymmetrically limited relative to upside in the base and bull scenarios – the COVID floor represents genuine economic impairment pricing for a still growing economy.

Position Management

Entry: current levels at $13.02 represent a reasonable entry given proximity to COVID-era lows and embedded asymmetry. Advise scaling in gradually over 2-3 weeks around the June 1 FX repatriation enforcement date and MSCI June classification review. Both near-term binaries may substantially move the position before the medium-term thesis plays out.

Ongoing monitoring include:

- Monthly Bank Indonesia meeting – language shifting from “pro-stability” to “pro-growth.”
- Bank Indonesia foreign currency reserve levels – accelerated drawdown is sufficient warning.
- Q1-Q3 2026 capital flow data – sustained multi-quarter outflows falsify the functioning economic stability argument.
- Danantara commodity centralization implementation timeline – any re-escalation towards September 2026 enforcement re-widens governance risk premium.
- President Prabowo policy announcements – confirm reversal tendency holds.

Cut conditions: Deterioration across multiple items simultaneously. Regional contagion emergence is the one-single item exception warranting immediate reassessment. MSCI frontier downgrade in isolation is not a cut; it extends the trade timeline but does not falsify the core thesis.

Add conditions: Any move towards $11-12 driven by governance noise rather than further fundamental deterioration. Confirm against monitoring checklist before adding – price weakness accompanied by capital flow deterioration is not an add. Consider reassessing in such cases.

Exit conditions: trim into $17-19 as the mean reversion setup completes. Bull case – hold through $19 only if a credible, structural governance signal has materially changed the thesis from mean reversion to genuine re-rating. The core thesis assumes a grinding re-rating trade, not a binary catalyst trade – trimming / exiting when offered a base case return is advised.

Conclusion

The thesis maintains: Indonesia is not in crisis, and it is being priced as such. The governance deterioration under President Prabowo is real — Danantara, the removal of Sri Mulyani, the central bank appointment — but it does not constitute the institutional collapse the market is pricing. The economy is growing, inflation is contained, capital flows are positive, and the 1997 analogy driving consensus has no external amplifier to establish relevance.

The trade does not require a recovery. It requires only that the deterioration stops accelerating. At COVID-era valuations, with a clear catalyst map, a defined monitoring framework, and asymmetric scenario returns of -20% bear against +45% base and +85% bull, the risk-reward is compelling. Long EIDO at current levels.

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